

Module 6 - BMC - 5 sub modules

Pre Session [++45mins]	Session [++ min]	Post Session [++mins]
1. Quiz [3-5 mins] 2. Videos	1. Intro 2. BMC Desirability - Customer Development 3. BMC Viability - Sanity Check 4. BMC Feasibility - Build, Borrow, Buy? 5. BMC Example	1. Create Draft BMC (Team wall) 2. Recommended Videos + Reading



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Business Model Canvas (BMC)

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Pre-Session Activities

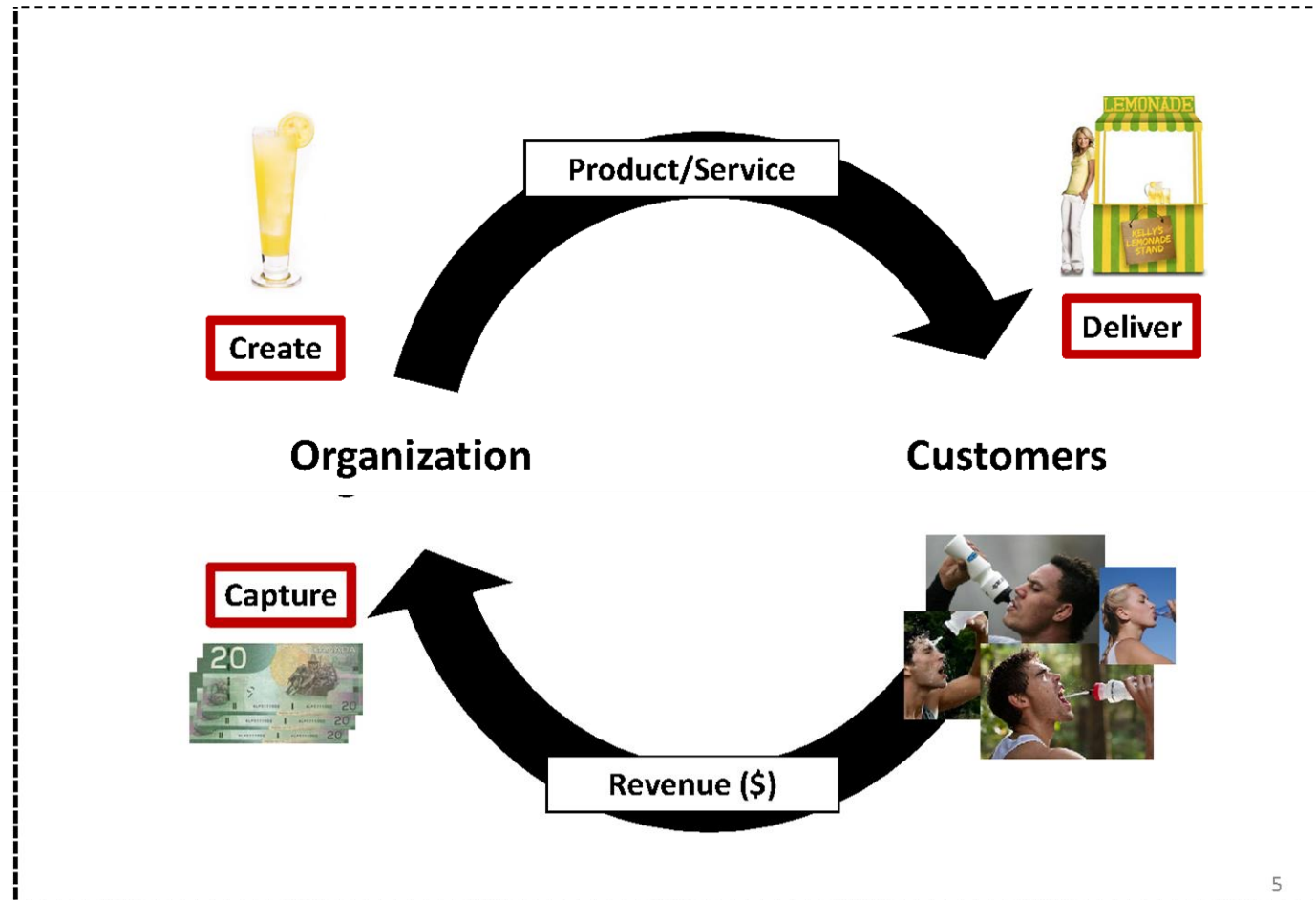
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business model ?

“A business model describes the rationale of how an organization **creates, delivers, and captures** value”

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Business Model



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Business Model Canvas

business
model
canvas



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Business Model Canvas vs Business Plan



- BMC – 10,000 ft level view, dynamic, visual, easier to iterate
- Business Plan (BP) – Strategic, Financials, etc – more detailed
- BMC and BP can be complementary
- Use-case is ‘situational’ (i.e. determine which one to use based on what you are trying to accomplish and the target audience)

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Business Model Canvas



Business Model Canvas

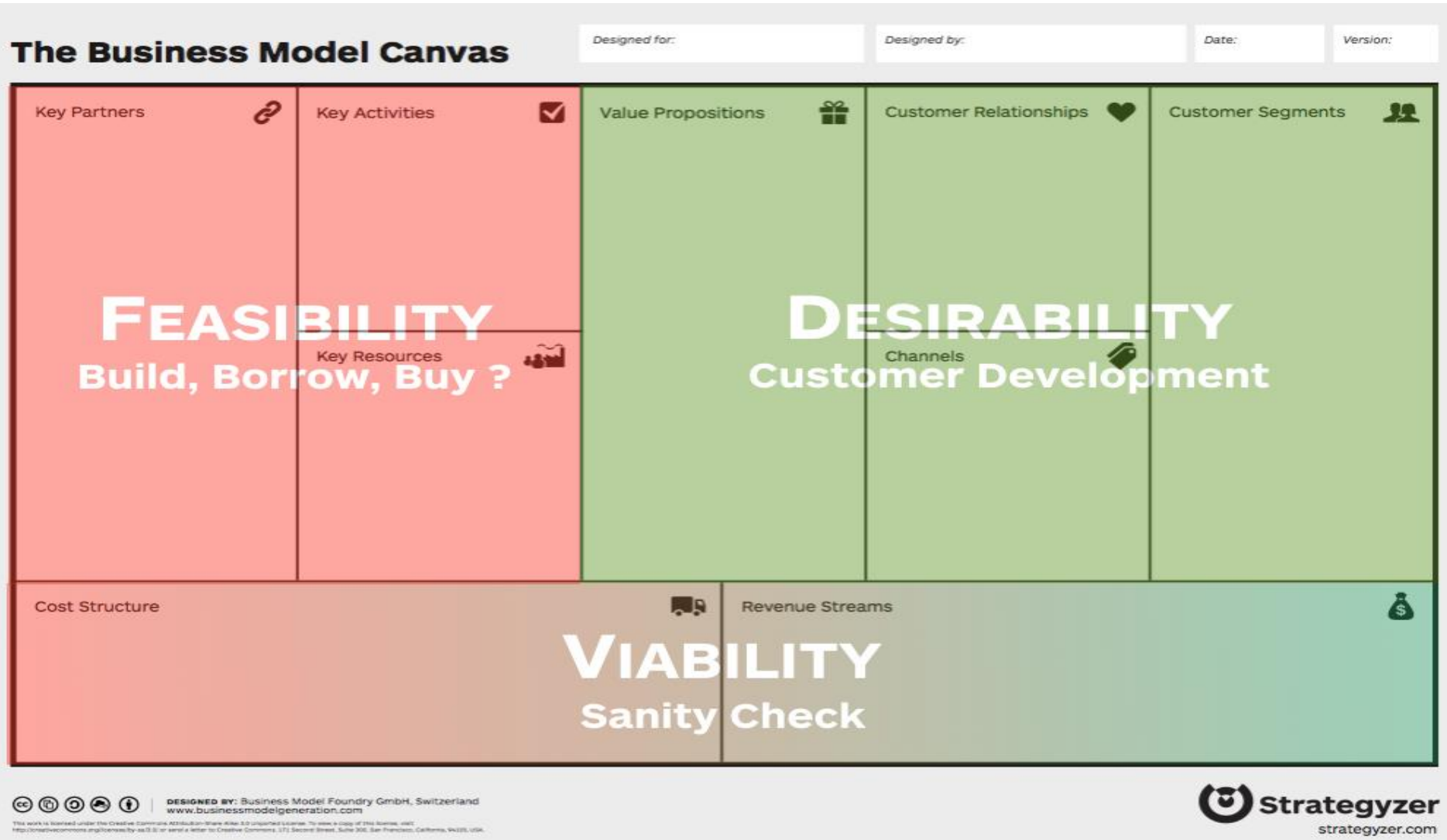
is a tool to

create and analyze business models



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Business Model Canvas



9 building blocks

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BMC

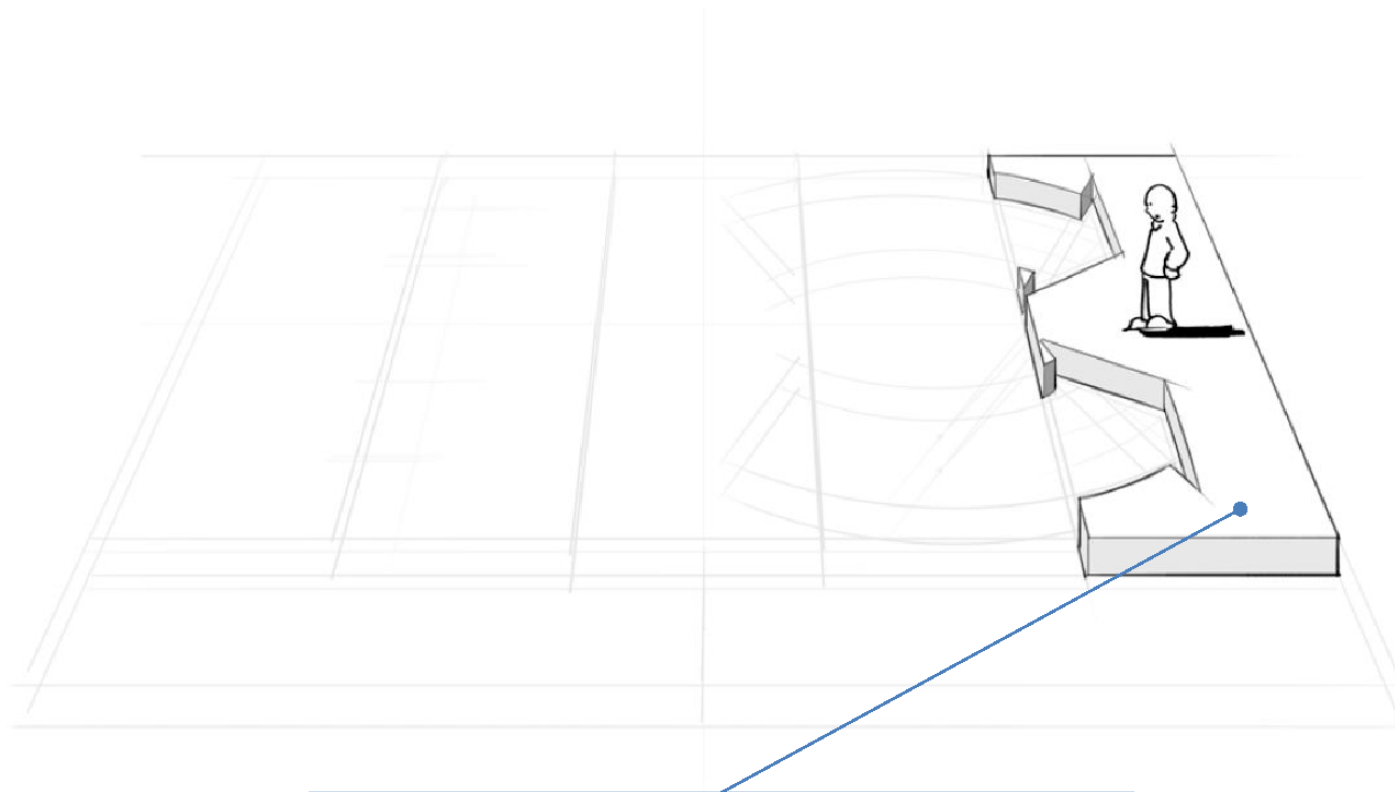
"Desirability" - Customer Development

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BMC - Customer Segments

Customer Segments



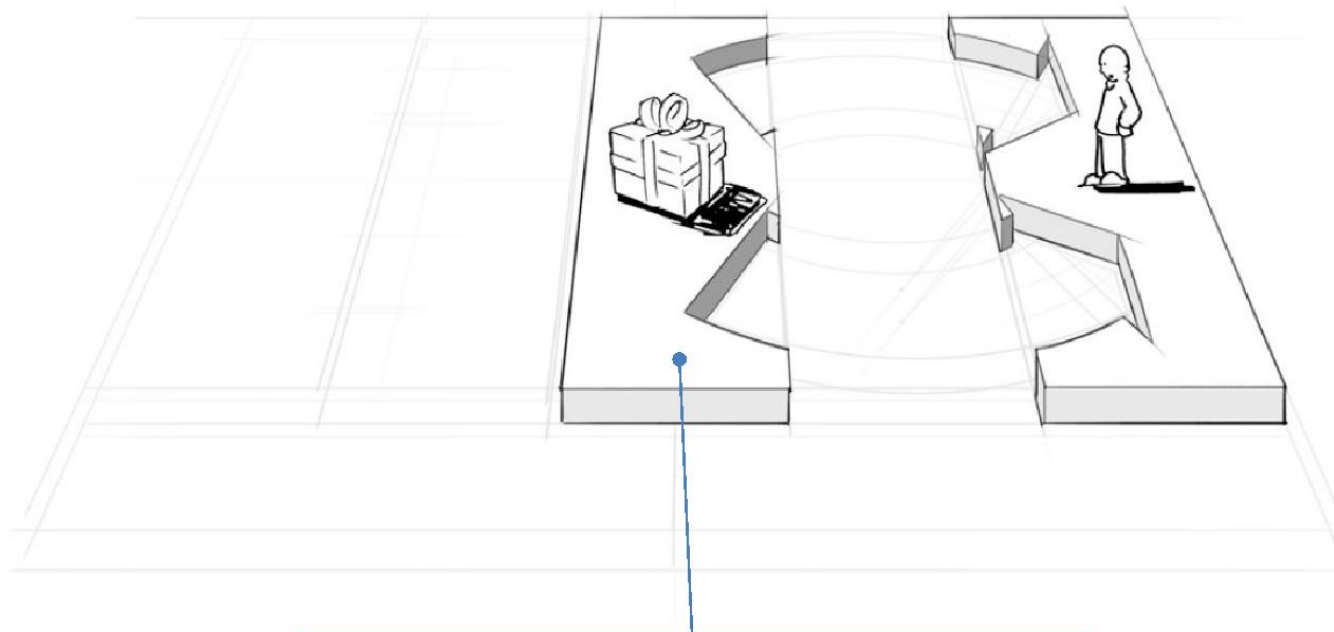
which customers and users are you serving?
which jobs do they really want to get done?

Mass market
Niche market
Segmented
Diversified
Multi-sided
platform/mkt

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BMC - Value Proposition

Value Proposition



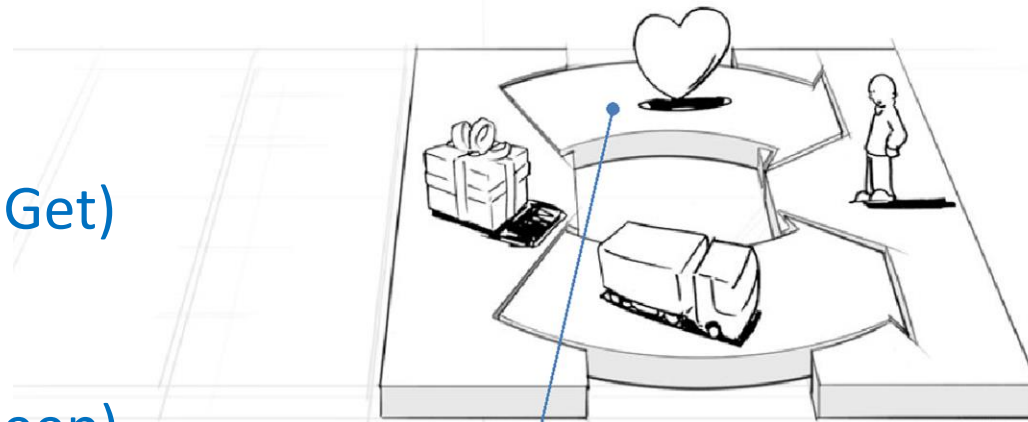
what are you offering them? what is that getting done for them? do they care?

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BMC - Customer Relationships



Customer Relationships



Customer Acquisition (Get)



Customer Retention (Keep)



Boost sales (upsell)

what relationships are you establishing with each segment?
personal? automated? acquisitive? retentive?

Personal Assistance

Dedicated Personal Asst

Self-Service

Automated Services

Communities

Co-Creation

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BMC - Channels

Channels for:

Awareness



Evaluation



Purchase

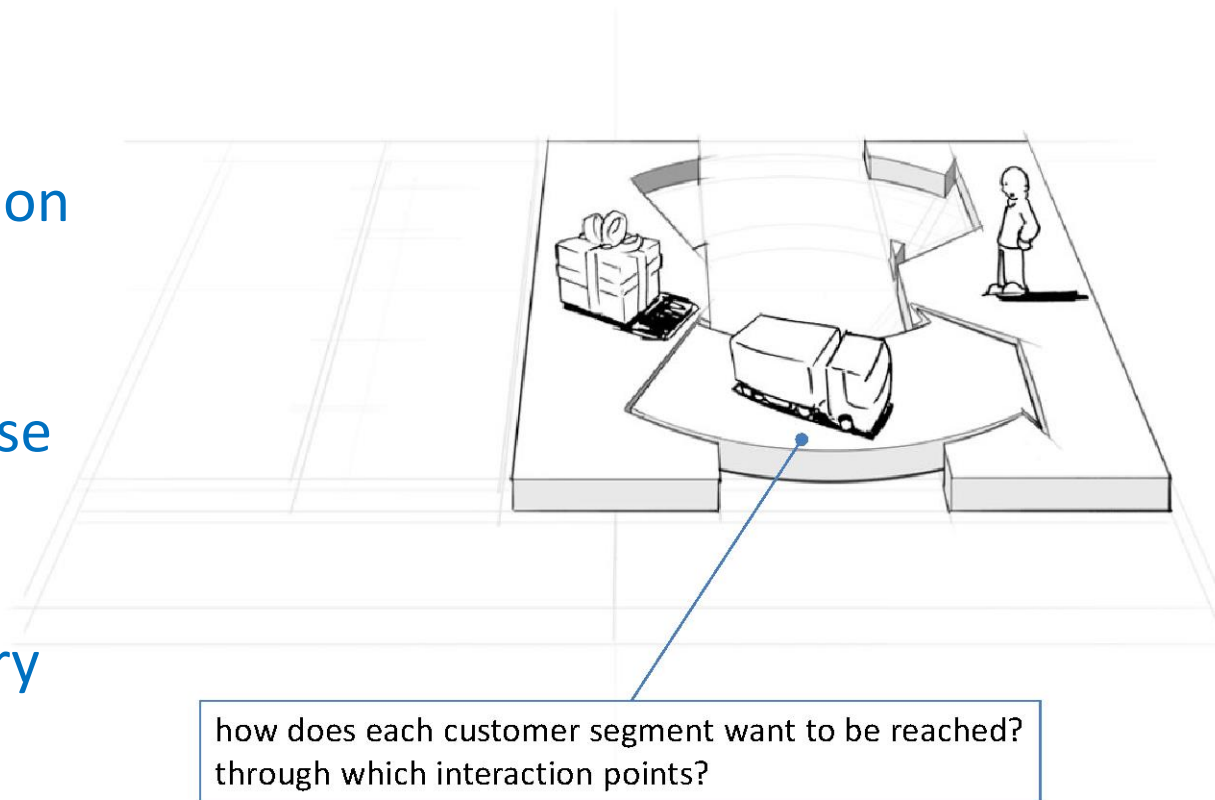


Delivery



After Sales

Channels



Examples: web, own store,
retail/distribution channel, etc

- Direct vs. Indirect
- Own vs. Partner

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BMC

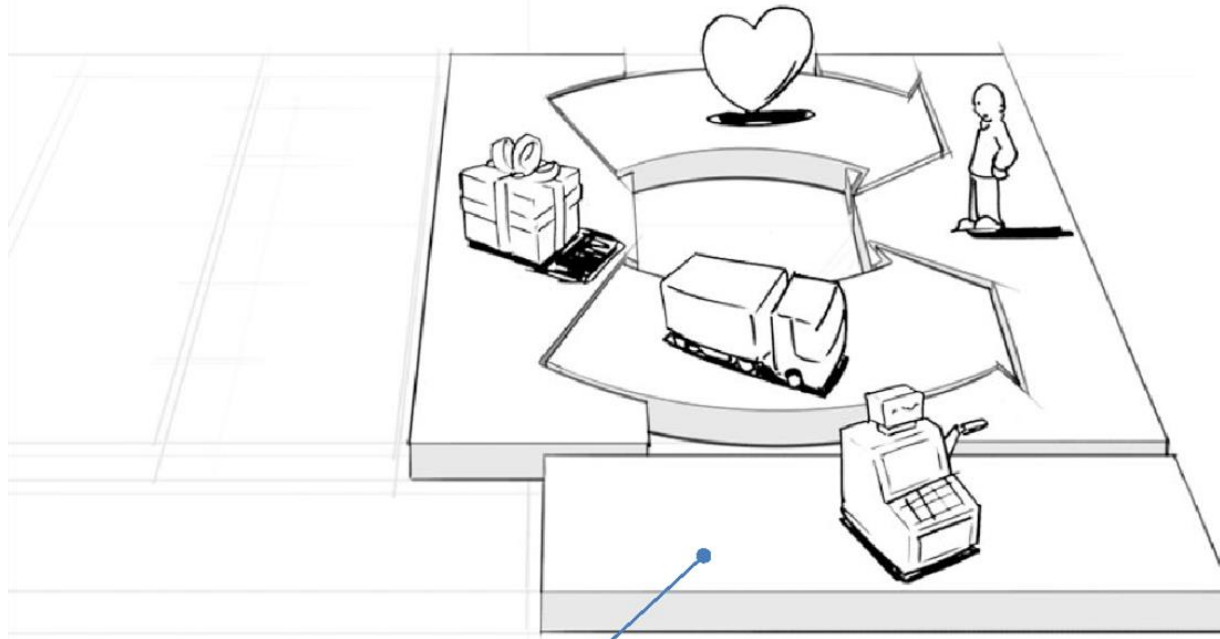
Business Viability

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BMC - Revenue Streams

Revenue Streams



what are customers really willing to pay for? how?
are you generating transactional or recurring revenues?

Product Sale

Usage fee

Subscription fee

Lending/Renting

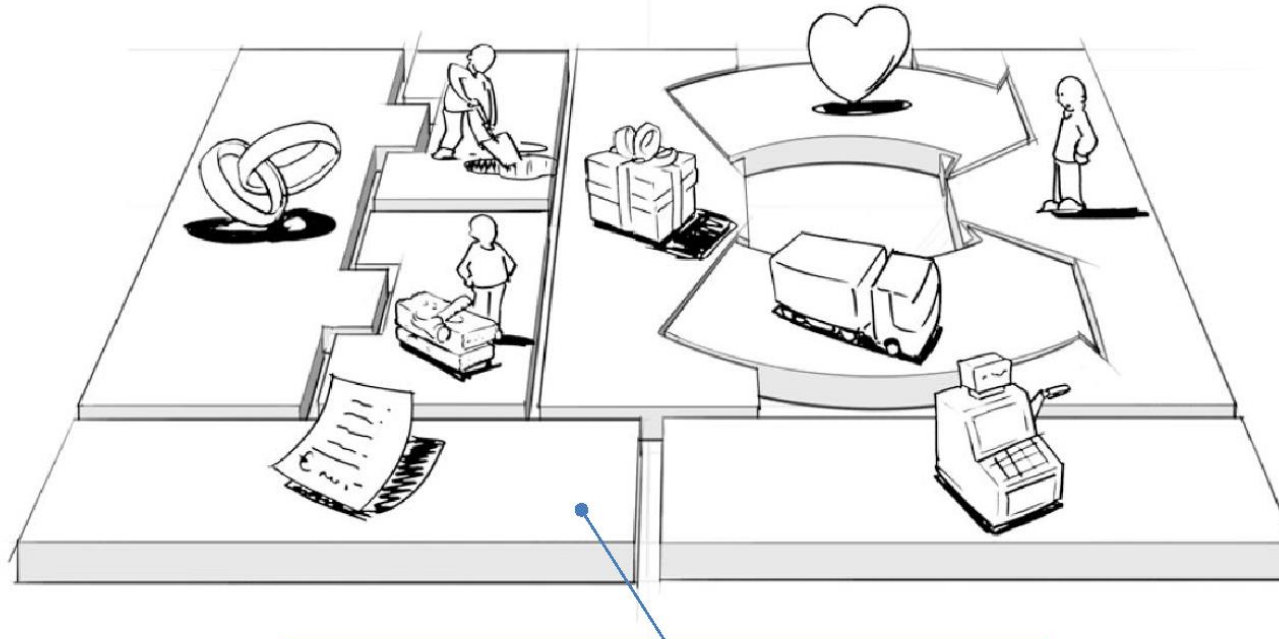
Licensing

Types: Transaction, Recurring

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BMC - Cost Structure

Cost Structure



what is the resulting cost structure?
which key elements drive your costs?

Cost-driven

Value-driven

Fixed-costs

Variable-costs

Economies of scale

Economies of scope

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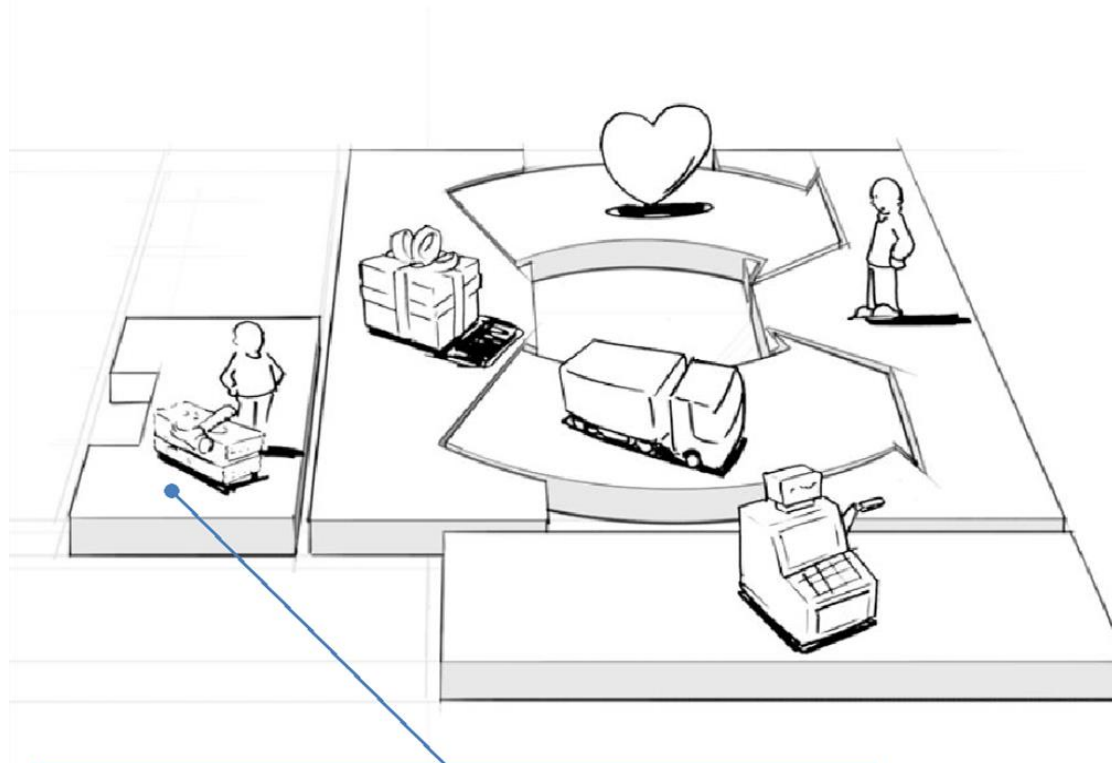
BMC Feasibility

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BMC - Key Resources

Key Resources



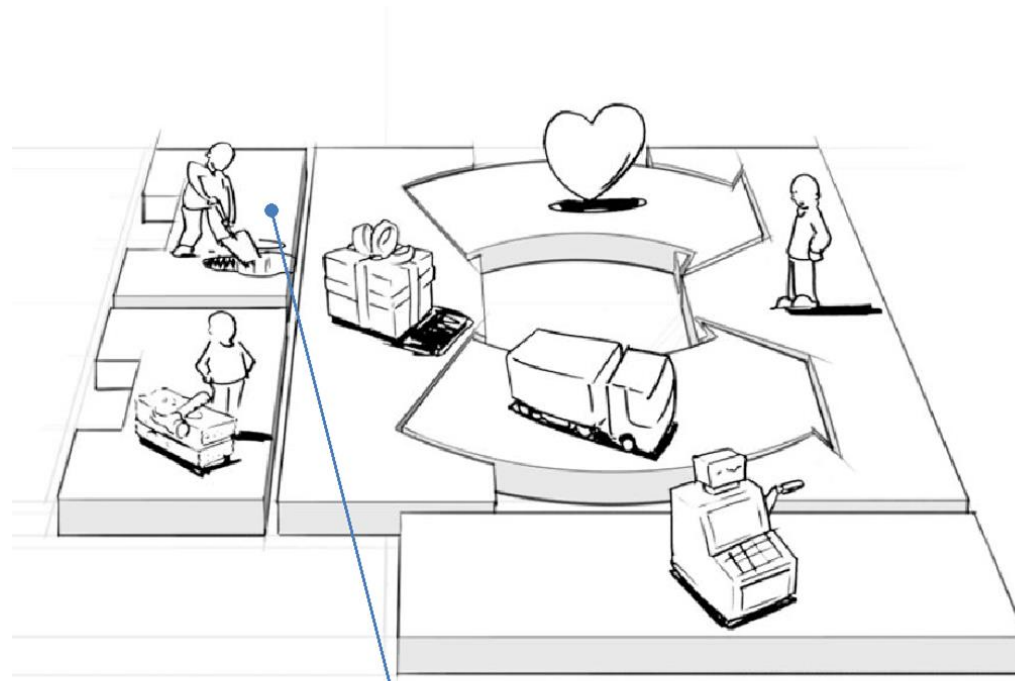
which resources underpin your business model?
which assets are essential?

Physical
Intellectual
Human
Financial

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BMC - Key Activities

Key Activities



which activities do you need to perform well in your business model? what is crucial?

Production

Services

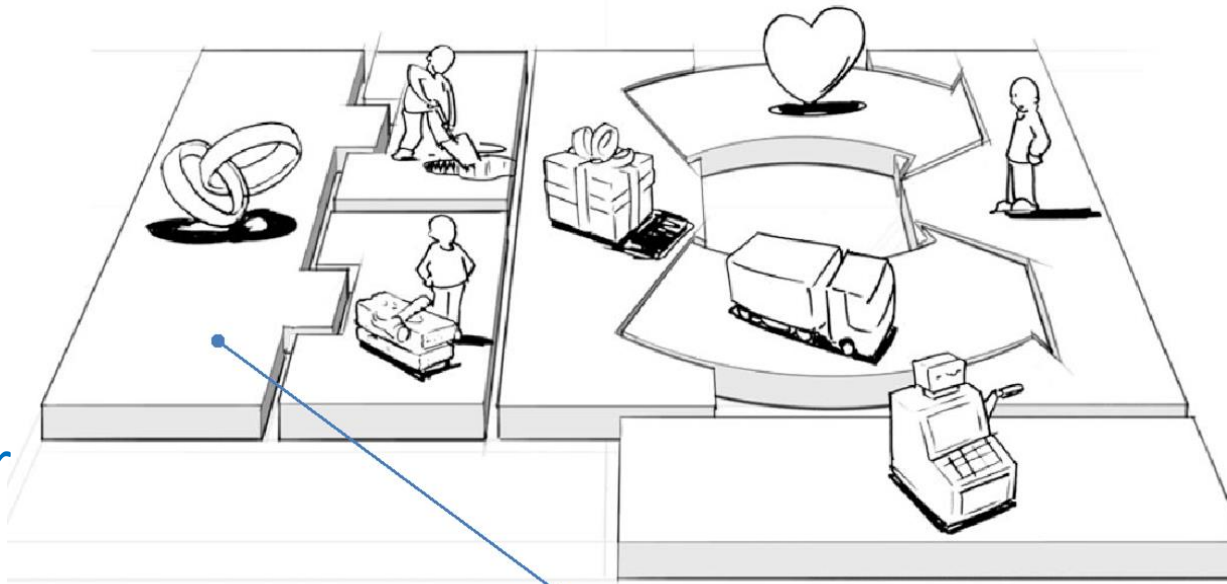
Platform/Network

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BMC - Key Partners

Key Partners

Strategic
Co-operation
Joint Venture
Buyer-Supplier



Economy of scale
Specific resources/ capabilities
Reduction of risk & uncertainty

which partners and suppliers leverage your model?
who do you need to rely on?

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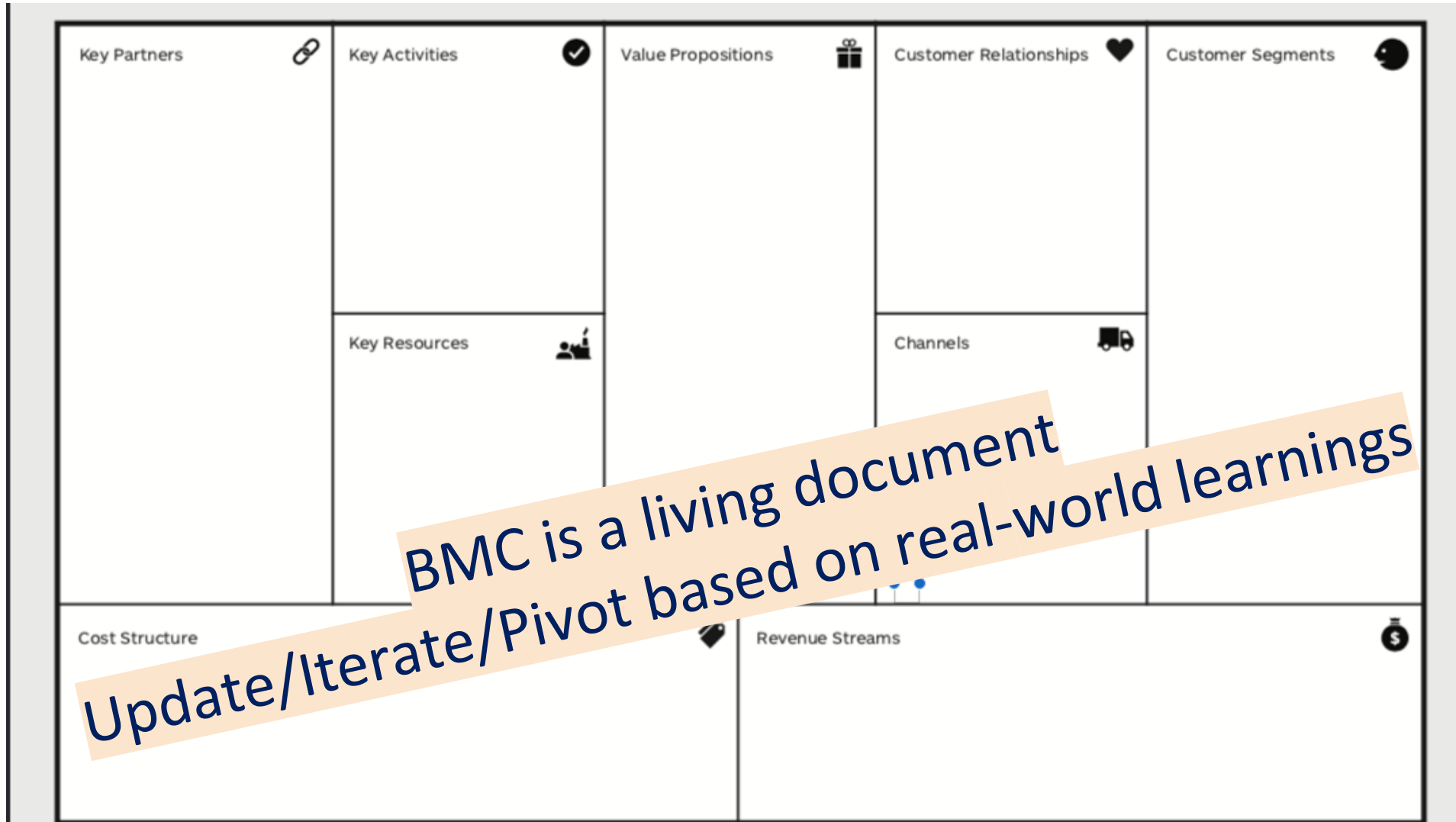
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BMC Example

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BMC Template



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BMC Summary

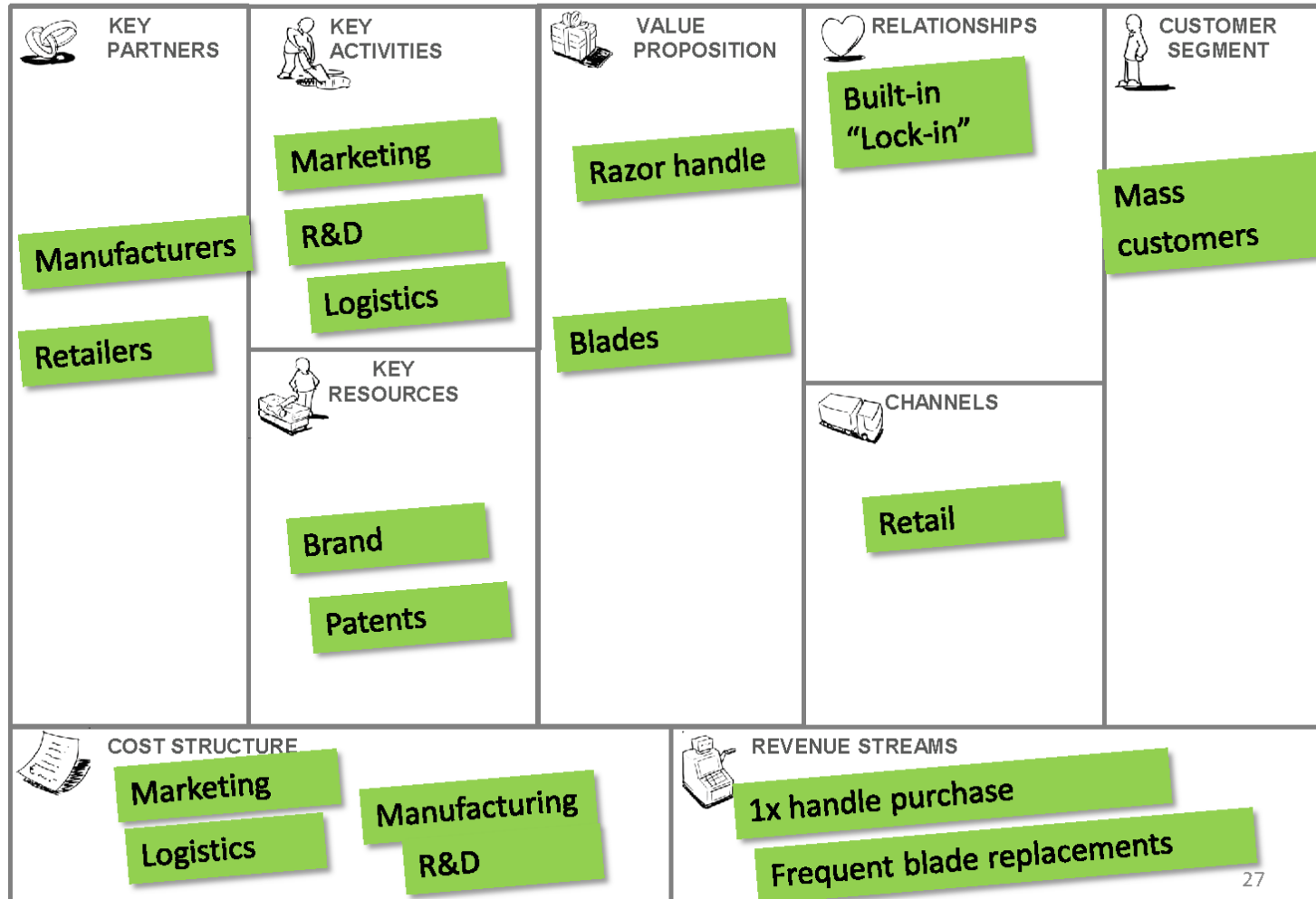


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BMC Example - 1

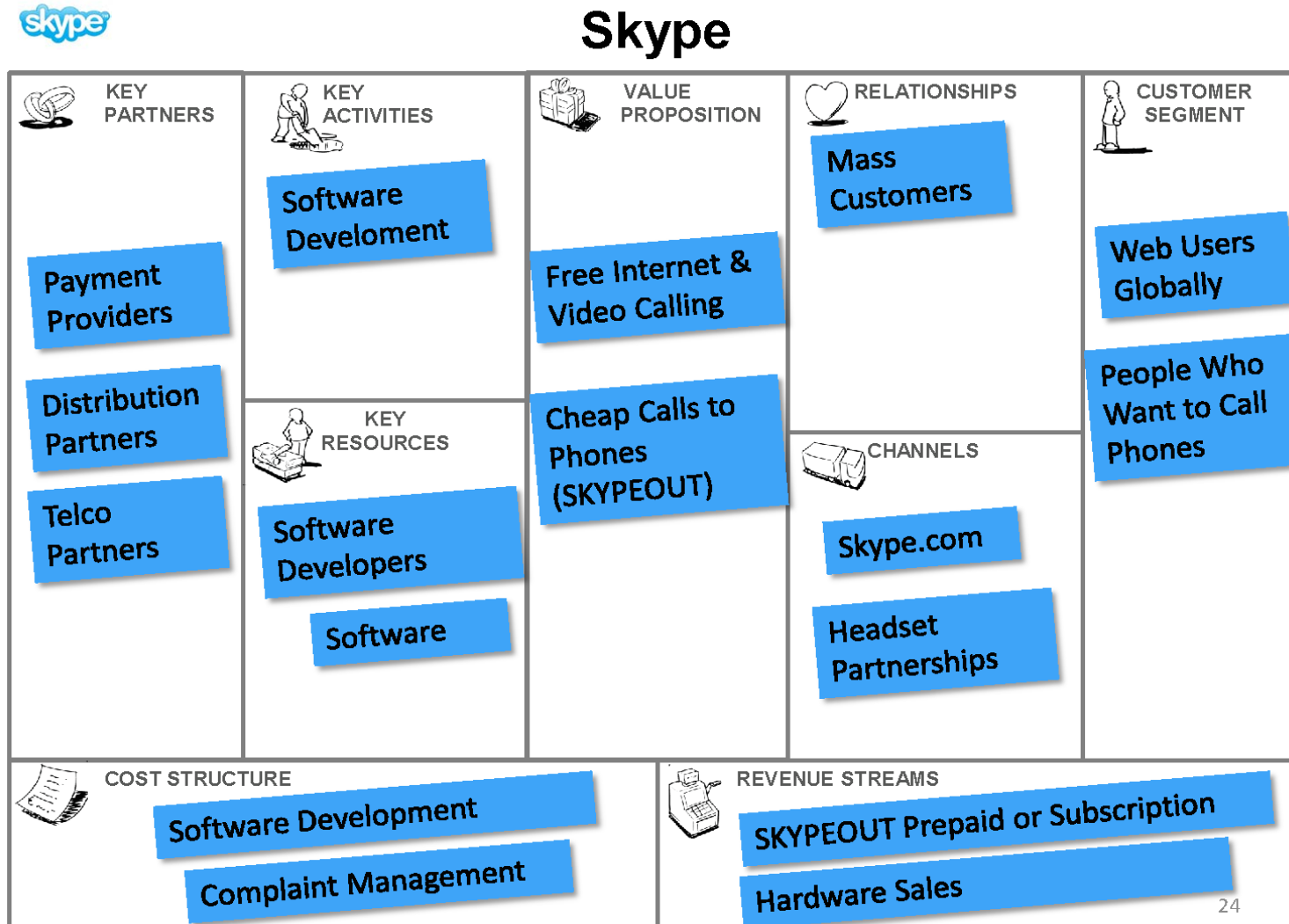
Gillette

Gillette: Razors & Blades



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BMC Example - 2

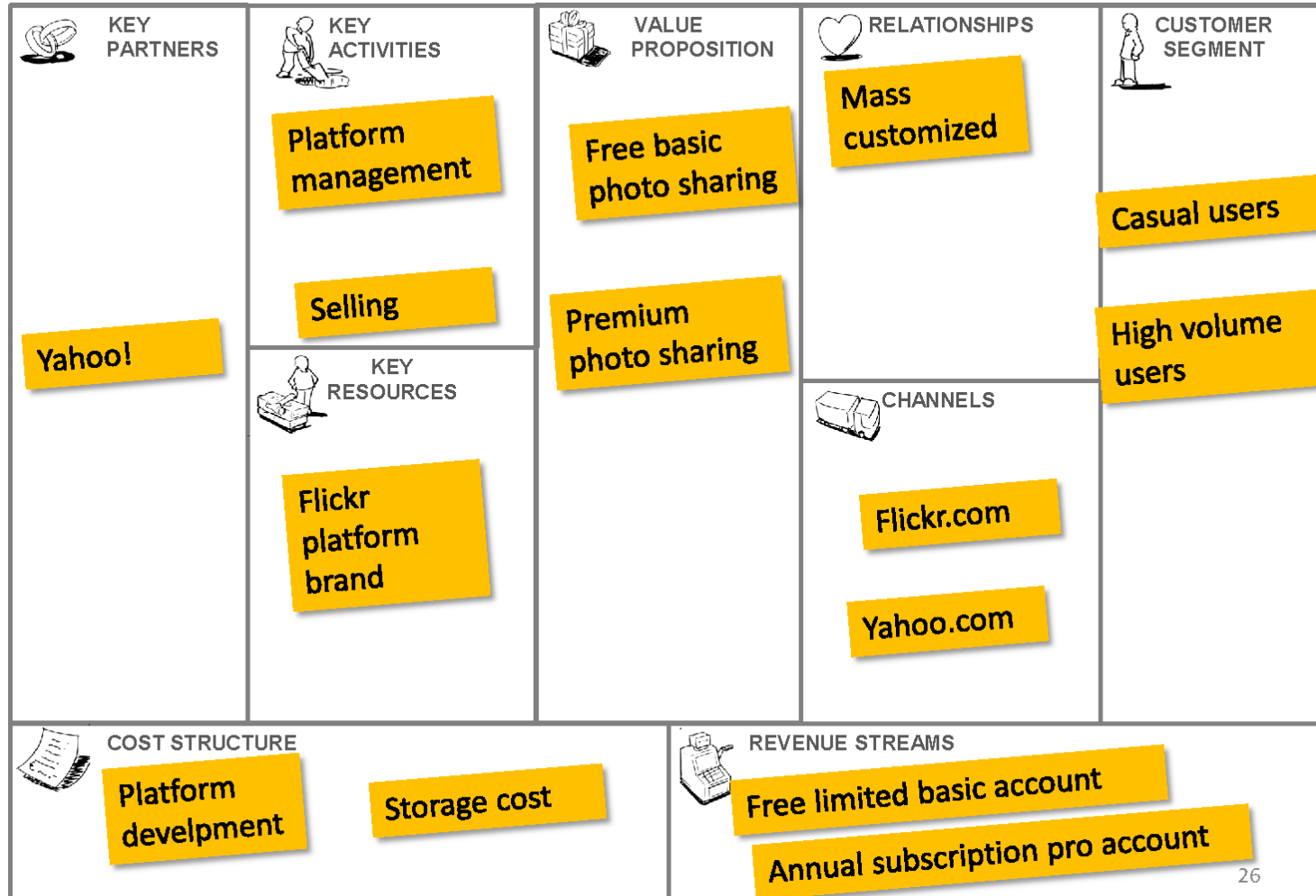


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BMC Example - 3

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Flickr: Photo Sharing



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Post Session Brief

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Activity (Team)



- Create the first version of your BMC for your business idea.
- Share the same on your team wall.



THANK YOU

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